

in the litigation, took the risk of liability for costs, and that their participation could hurt their chances of being hired by other employers. They estimate their time spent at 45 and 55 hours. Based on the criteria for evaluation of such requests set forth in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807 (particularly the size of the award relative to the recovery), the request is approved.

D. Discussion and Conclusion

The moving papers sufficiently establish that the proposed settlement is fair, reasonable, and adequate to justify final approval.

The motion is granted. Counsel are directed to prepare an order reflecting this tentative ruling, and the other findings in the previously submitted proposed order and a separate judgment. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented, the date for which should be obtained through consultation with the Department clerk. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

13. 9:00 AM CASE NUMBER: MSC21-00588

CASE NAME: SHARMA VS. ARS ALEUT CONSTRUCTION

***HEARING ON MOTION IN RE: DEFENDANT NORCAL GOOD FAITH SETTLEMENT**

FILED BY:

TENTATIVE RULING:

Defendants, NorCal Rental Group, LLC ("NorCal") as well as Peterson Holding Company, Peterson Tractor Company DBA Peterson-Cat, and Sitech Norcal, Inc (collectively, "Peterson Defendants") separately move for determination of a good faith settlement. Plaintiff Shalini Sharma, has joined in both motions. The motions are **granted**. The Court finds that the settlement was made in good faith, as discussed below.

I. Factual Background

In this construction injury case, the plaintiff, Shalini Sharma, worked as a heavy equipment operator when she was injured by a large piece of glass that fell out of the cab door of the rented grader she was operating. The grader was rented from defendant American Equipment Company, Inc. ("AMECO"), who had procured it from NorCal, who, in turn, procured it from the Peterson Defendants.

In March 2021, plaintiff filed this suit to recover for her injuries. The currently operative complaint is the Third Amended Complaint, filed on July 26, 2022. The causes of action alleged in that complaint are (1) Negligence – Products Liability; (2) Strict Liability – Products Liability; (3) Breach of Implied Warranty; and (4) Negligence. Several cross-complaints were filed, including claims for equitable indemnity. Plaintiff's employer, ARS Aleut Construction, LLC, has been dismissed from the lawsuit based on a settlement of her workers' compensation claim for \$38,000.

A jury trial is currently set for July 6, 2026, but was scheduled to start on May 11th at the time these motions were made.

After a JAMS mediation on March 17, 2026, Norcal and the Peterson Defendants entered into a settlement with plaintiff on the condition that the settlement be determined to be in good faith. The present motions, pursuant to Code of Civil Procedure section 877.6(a)(1) (Norcal's motion erroneously refers to subdivision (a)(2)), seeks an order that determines the settlement was in good faith.

The motions explain that Norcal and Peterson Defendants will pay plaintiff \$925,000 in exchange for a dismissal with prejudice of plaintiff's complaint and a release of claims as to settling parties. (See Norcal Memorandum of Points and Authorities in Support of Motion, 7:17-21; see also Peterson Defendants' Memorandum of Points and Authorities in Support of Motion, 4:23-5:9.) The motions are supported by declarations from counsel. Norcal's counsel, Michael A. Walker, states, in relevant part, "NorCal, the Peterson Defendants, and Plaintiff reached a settlement agreement on or about March 24, 2026 in the sum of \$925,000, with each party to bear their own fees and costs." (Walker Decl., ¶18.) Walker goes on to state that Norcal's insurance carrier will pay \$462,500 (half) of the total. (*Ibid.*) The papers submitted by Peterson Defendants support this description.

Plaintiff has filed joinders in both motions, which are **granted**.

II. Standard

A determination by a court that a settlement was made in good faith bars any other joint tortfeasor or co-obligor from asserting further claims against the settling party for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault. (Code Civ. Proc. §877.6(c).)

The criteria for the determination of a good faith settlement were originally set out by the California Supreme Court in *Tech-Bilt, Inc. v. Woodward-Clyde & Assoc.* (1985) 38 Cal.3d 488 ("*Tech-Bilt*"). *Tech-Bilt* identifies six nonexclusive factors for making a determination of good faith settlement:

- (1) a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability;
- (2) the amount paid in settlement;
- (3) the allocation of settlement proceeds among plaintiffs;
- (4) the recognition that a settlor should pay less in settlement than he would if he were found liable after a trial;
- (5) the financial conditions and insurance limits of settling defendants; and,
- (6) the existence of fraud, collusion, or tortious conduct aimed to injure the interests of nonsettling defendants.

(*Tech-Bilt, supra*, 38 Cal.3d at p. 499.)

Once the settling party has demonstrated that a settlement exists, a presumption of good faith exists. A party asserting a lack of good faith bears the burden of proof on that issue. (Code Civ. Proc. § 877(d).) The party asserting lack of good faith must demonstrate that the settlement is "so far out of the ballpark in relation to [the *Tech-Bilt* factors] as to be inconsistent with the equitable objectives of the statute." (*Tech-Bilt, supra*, 38 Cal.3d at pp. 499-500.)

Ultimately, for the Court to grant the motion, the "settlement figure must not be grossly

disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant's liability to be." (*Tech-Bilt, supra*, at p. 499.) Trial courts have "broad discretion in determining whether a settlement was entered in good faith and within the *Tech-Bilt* ballpark, and in allocating potential liability and exposure between or among joint tortfeasors." (*Norco Delivery Service, Inc. v. Owens-Corning Fiberglass, Inc.* (1998) 64 Cal.App.4th 955, 962.)

III. Evidentiary Objections

In reply to the opposition papers, plaintiff (who joins in the motion) objects to statements in the Declaration of Michael T. Boardman. Norcal, without submitting any separate document listing its "objections," also disputes that the evidence should be considered. (See Norcal Reply 9:20-10:13.) The challenged statements reflect communications between counsel on the subject of liability and settlement. Plaintiff objects to the statements based on relevance, the mediation privilege, and hearsay. Norcal argues the statements are "objectionable and unfounded." The objections are **overruled**.

IV. Analysis

A settling party's burden in applying for a good faith determination is to prove there has been a settlement. (*Fisher v. Superior Court* (1980) 103 Cal.App.3d 434, 447; see also, *City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261-1262.) Norcal and Peterson Defendants meet this burden through counsel declarations outlining the terms of the settlement and, on reply, providing a copy. Because moving parties meet this burden, the burden shifts to any opposing party to show that the settlement was not made in good faith. (*Fisher, supra*, 103 Cal.App.3d at 447.)

AMECO fails to show bad faith, as required to defeat the motions. (Code Civ. Proc., § 877.6, subd. (d).) AMECO first argues that the Court should not have shortened time for hearing on these motions based on the procedural posture at the time the order was entered (no motions had yet been filed). Moving parties defend the procedural steps taken due to the impending jury trial, further pointing out that the lack of opposition to the applications for shortened time. The Court notes AMECO did file substantive oppositions to both motions. Any irregularities on this record are not a reason to deny the motions.

AMECO also argues the proposed settlement is outside the *Tech-Bilt* ballpark, but provides no evidentiary support for this claim. As it argued in the motions for summary judgment, AMECO asserts it acted only as a "middle-man" and was thus not responsible for the grader's condition. (Declarations of Michael T. Boardman in Support of Oppositions, hereinafter "Boardman Decl.," ¶13.) AMECO presents evidence that plaintiff seeks damages "in excess of" \$5 million and contends that there is \$11 million in insurance coverage available to the moving parties. (Memorandum of Points and Authorities in Support of Opposition to Peterson Defendants' Motion, 14:26-15:1.) The Court notes that a claim is not tantamount to actual recovery and, pursuant to *Tech-Bilt*, "a settlor should pay less in settlement than he would if he were found liable after a trial." Norcal presents evidence that plaintiff's claim is worth less than she would actually be able to show at trial since she incurs no significant wage loss. Plaintiff may have elected to let NorCal and the Peterson Defendants settle for less than she could seek at trial, but where these defendants are covering nearly 20% of her claimed damages, and where the \$5 million claim would not exhaust the purported insurance limits anyway, this sort of decision is not for the Court to second-guess. Whether plaintiff attempted to settle with AMECO for less in November (\$340,000) than she sought in March (\$5 million) is not relevant. The posture of litigants changes as facts develop and trial nears.

The Court agrees with the moving parties that the sum is not insubstantial and, because

liability is difficult to predict, splitting equally between NorCal and the Peterson Defendants is reasonable. As for the express indemnity discussion (see Boardman Decl., ¶14), it is irrelevant to the determination to be made here. Should AMECO show a contract for express indemnity at trial, AMECO would be entitled to express indemnification. The scope of what sort of claims are extinguished by way of granting this motion is limited to the types of claims listed in Code of Civil Procedure, section 877.6, subd. (c). "It is well-established a good faith settlement would not preclude an indemnity action based on an express indemnity agreement. " (*Willdan v. Sialic Contractors Corp.* (2007) 158 Cal.App.4th 47, 55, citing *Bay Development, Ltd. v. Superior Court* (1990) 50 Cal.3d 1012, 1019, 1032.)

The Court disagrees with AMECO's assertion that the settlement is the result of collusion. AMECO's basis for the assertion includes that it was not included in the mediation, but the evidence suggests it declined to attend. AMECO also indicates it was put at a disadvantage in discovery, but as explained in the replies, AMECO's chosen discovery strategy relied on the efforts of others and this choice is not a reason to deny the motions. The discovery strategies were part of the cost calculations necessary in navigating litigation on the brink of trial.

For the above reasons, the Court finds this settlement was entered into in good faith and any claims covered by Code of Civil Procedure section 877.6, subdivision (c) (including equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault) are dismissed.

14. 9:00 AM CASE NUMBER: MSC21-00588
CASE NAME: SHARMA VS. ARS ALEUT CONSTRUCTION
***HEARING ON MOTION IN RE: GOOD FAITH SETTLEMENT BTWN DEFS PETERSON AND SITECH NORCAL AND PLTF SHARMA**
FILED BY: PETERSON TRACTOR CO.
TENTATIVE RULING:

Please see Line 13.

15. 9:00 AM CASE NUMBER: MSC21-00588
CASE NAME: SHARMA VS. ARS ALEUT CONSTRUCTION
HEARING IN RE: JOINDER WITH MOTIONS FOR GOOD FAITH SETTLEMENT FILED BY NORCAL RENTAL GROUP, PETERSON TRACTOR, PETERSON HOLDING, AND SITECH NORCAL
FILED BY: SHARMA, SHALINI
TENTATIVE RULING:

Please see Line 13.

16. 9:00 AM CASE NUMBER: MSC21-02415
CASE NAME: MEJIA, ET AL. VS HERNANDEZ, ET AL.